(b) Write off half of the amount of existing goodwill, that is ₹ 20,000

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2019	Naresh's capital A/c (20,000 × 2/5)	Dr.		8,000	
March 31	Mani's capital A/c (20,000 × 2/5)	Dr.		8,000	
	Muthu's capital A/c (20,000 × 1/5)	Dr.		4,000	
	To Goodwill A/c				20,000
	(Half of the existing goodwill written off)				

6.7 Adjustment for current year's profit or loss upto the date of retirement

When a partner retires in between in an accounting year, his share of the current year's profit or loss upto the date of retirement has to be distributed to him. It may be estimated based on the current year's turnover. Previous year's profit or the average of the past years' profit may also be taken as the base to estimate the current year's profit. The following journal entry is passed.

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Profit and loss Suspense A/c	Dr.		xxx	
	To Retiring partner's capital / current A/c				xxx
	(Retiring partner's current year share of profit credited to his capital account)				

Note: If there is loss the reverse entry is passed.

Profit and loss suspense account is closed by transferring to the profit and loss account at the end the accounting period.



Profit and loss suspense account is a temporary account opened to transfer the share of retiring or deceased partner's share in current year's profit or loss upto the date of retirement or death.

Illustration 14

Justina, Navi and Rithika are partners sharing profits and losses equally. On 31.3.2019, Rithika retired from the partnership firm. Profits of the preceding years is as follows:

2016: ₹ 5,000; 2017: ₹ 10,000 and 2018: ₹ 30,000

Find out the share of profit of Ritika for the year 2019 till the date of retirement if

(a) Profit is to be distributed on the basis of the previous year's profit

(b) Profit is to be distributed on the basis of the average profit of the past 3 years

Also pass necessary journal entries by assuming that partners' capitals are fluctuating.

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